

investors' returns (net of fees) but also encouraged unethical selling practices. Over the years, SEBI has intervened repeatedly and successfully brought down expenses. It has now capped the expense ratio of equity mutual funds and debt mutual funds to 2.5 per cent per annum and 2.25 per cent per annum respectively. In 2009, SEBI abolished entry loads, which meant that the fund houses could not charge the client any upfront fees. This also reduced to a large extent the distributors' incentive to churn.

Mutual funds continued to incentivize distributors by giving them exorbitant upfront commissions from their own pockets. In CY 2013, for example, mutual funds offered between 5 and 8 per cent upfront commissions to distributors to sell closed-ended equity funds. It resulted in total equity mutual fund sales of Rs 7000 crore, most of which were into such closed-ended schemes.

In response, SEBI, through AMFI—the mutual fund industry's trade body—introduced the 'best practice guidelines' in 2015. The guidelines stated that the upfront commission that a fund pays to a distributor cannot be more than 1 per cent.

The guidelines also placed restrictions¹⁴ on trail commission and mandated that for subsequent years it should not be higher than that of the first year. SEBI also made it mandatory to disclose the commissions paid to distributors in the account statement to investors. Thanks to mutual fund selling practices coming under such scrutiny, by 2015, distributors had shifted to hard selling more lightly regulated products—PMS schemes and AIFs.

Direct schemes: SEBI's knockout punch

Direct schemes were launched by SEBI in 2007. A direct scheme of a mutual fund has the least expense possible because mutual funds cannot give commissions to any broker. Direct code investments give investors an option to deal directly with the fund house without any intervention by intermediaries like distributors, agents, financial planners, banks, etc. The process to buy the scheme remains the same, except that the investor keeps the broker code field empty in a mutual fund application form.